

Instructor Pack

Everything you need to stand up and teach the ten weeks: run sheets, the explanations that work, the mistakes students make every year, and every answer key in one place.

For the trainer only • not for circulation to students • prepared
September 2026 for the cohort starting 1 October 2026

Before you read anything else

This pack assumes you know the tax. It is not here to teach you Head of Household. It is here so that you can walk into a session having read four pages, and know exactly what you are going to say, in what order, what the class will get wrong, and what you are sending them away with.

Three things are true about this cohort that shape everything below:

- **Five people, two rooms.** Two train in the Detroit office, three train remotely. Every session has to work both ways, so nothing critical happens on a whiteboard that the remote three cannot see.
- **Most of them have never done a return.** Assume no prior knowledge and no tax vocabulary. When you use a term for the first time, say what it means in the same sentence.
- **The December exam is the gate.** Nobody sits in front of a client without passing it. That is not a threat to hold over them, it is the reason the ten weeks are structured the way they are — and it is why you need to know by Week 5, not Week 10, who is in trouble.

How the ten weeks run

WEEK	MODULE	LIVE SESSION	THEIR OWN TIME
1	0 · Professional Requirements & Responsibilities	2 h	PTIN registration, read the security plan
1–2	1 · The 1040, End to End	2 h × 2	Workbook M1, Assignment 1
3	2 · Filing Status	2.5 h	Workbook M2, Assignment 2
4–5	3 · The Earned Income Tax Credit	2.5 h × 2	Workbook M3, Assignment 3, Form 8867 drill
6	4 · Side Hustles and Schedule C	2 h	Workbook M4, Assignment 4
7	5 · Special Situations & the New Deductions	2 h	Workbook M5, Assignment 5
8	6 · Michigan & Detroit Returns	2.5 h	Workbook M6, Assignment 6
9	7 · The Software and the Client	3 h, hands-on	Three full software cycles
10	8 · Practice Lab	4 h, in two halves	Practice returns 1–4
11	Final exam	2 h, 14–18 December	Revision; retake window opens 7 days later

The shape of every session

Keep this the same every week. Adults learn faster when the container does not move.

0:00

Last week's assignment, back to them

Five minutes. Name the two things the group got right and the one thing most people missed. Never single out a person in front of the room.

0:05

Why this module exists

One or two sentences tying it to a client who walks through the door. Read the module's opening line from the course if you want it word for word.

0:10	Teach Forty minutes maximum before the first scenario. If you are still talking at minute 45, cut something.
0:50	Scenarios, in pairs They try it before you give them the answer. Remote students pair on a call; the office pair works aloud.
1:20	Debrief the traps This is where the learning actually happens. The notes in each module below are written for this slot.
1:40	Knowledge check Ten to fifteen minutes on the course page. Scores land on your dashboard as they submit.
1:55	Set the assignment Say the deadline out loud and put it in the group channel before you close the call.

RUNNING IT FOR THREE REMOTE STUDENTS

- Share your screen with the **course page** open, not a slide deck. They have the same page in front of them and can scroll back afterwards.
- Ask remote students by name. In a five-person group, silence from a remote student is invisible in a way it is not in a room.
- Everything you write on paper has to be typed or shown to camera. If you find yourself sketching on a desk pad, stop and put it in the chat instead.
- Record every session. Somebody will miss one, and a recording is cheaper than repeating yourself.

THE ONE THING NOT TO DO

Do not teach a module you have not re-read that week. The figures move every year and the Schedule 1-A deductions are new to everybody, you included. Fifteen minutes with the module and the figures sheet the night before is the difference between teaching it and reading it aloud.

Marking, and what “good” looks like

Everything a student does falls into one of three buckets, and they are weighted very differently.

WHAT	HOW IT IS MARKED	COUNTS TOWARD
Knowledge checks (8, on the course page)	Automatically. 70% to pass a module, unlimited retakes.	Progress. Not the final grade.
Assignments (6)	By you, against the rubric in each module below. Returned within three days or students stop doing them.	Readiness. Two weak assignments in a row is an intervention.
Practice returns (4)	By you, against the solution sets. Accuracy <i>and</i> the notes they wrote.	The strongest predictor of the exam. Treat a weak Lab 2 as a red flag.
Final exam	By you, against the marking sheet. 80% needed on Parts A and B, 70% on C and D.	The gate. Pass and they work the season.

THE RUBRIC BEHIND EVERY PIECE OF MARKED WORK

Four questions, in this order. A student can be technically right and still fail on these.

1. **Did they ask?** Is there evidence they gathered the facts rather than assumed them — a date, a number of months, a name?
2. **Did they write it down?** A right answer with no note is worth half. In February it is worth nothing.
3. **Is the answer right?**
4. **Would they say it to the client's face?** Particularly where the answer costs the client money.

Professional Requirements & Responsibilities

The session that sets the tone for the whole ten weeks. Get this one right and the rest of the course has authority behind it.

WHAT THEY LEAVE WITH

- A PTIN application submitted, or a firm date to submit it by
- The firm's security plan read and signed
- An honest sense of the stakes — without being frightened into silence

BEFORE THE SESSION

- Open **IRS.gov/Form8867** and check the current per-failure due-diligence penalty. It is inflation-adjusted annually. Write the number on the figures sheet before you teach it, and teach the structure rather than the number.
- Have the PTIN portal open in a tab, logged out, ready to screen-share.
- Have five printed copies of the security plan, and the PDF in the group channel for the remote three.
- Confirm the 2027 PTIN renewal fee — it has changed before.

0:00

Who is in the room

Go round. Name, what they did before this, why they applied. Three minutes each, no more. You are listening for who has done returns before and who has never seen a W-2.

0:15

What this job actually is

You prepare returns for people who are often owed money and do not know it. You are not an accountant and you are not an auditor. Set that boundary now.

0:25

PTIN — do it live

Screen-share the portal and walk the form. Then stop talking and let them start their own. This is the highest-completion way to get five PTINs.

0:45

Circular 230, the five that matter

Do not read the rulebook. Teach the five behaviours from the course page, one client story each.

1:05	What a careless return costs The centrepiece of this session. See the script below.
1:25	Client information Concrete rules, no abstraction. Then hand out the security plan.
1:40	Code of conduct — NEVER and ALWAYS Read both lists aloud. Ask each person to say which ALWAYS they think they will find hardest. Their answer tells you a lot.
1:50	Knowledge check 0 Five questions. Then set the PTIN deadline out loud.

Teach it like this

THE PENALTY — SAY IT THIS WAY

"There is a penalty for not doing your due diligence. Not for getting the tax wrong — for not doing the work of checking. And it does not apply once per return. It applies once per credit."

"Earned Income Credit. Child Tax Credit. American Opportunity Credit. Head of Household. Four separate penalties, and a single return can carry all four. Then the IRS can assess the firm on top, and can stop the firm e-filing altogether. One careless preparer can end everybody's season."

"I am not going to give you the dollar figure to memorise, because it changes every year and I would rather you never trusted a number you learned in a classroom. Look it up each October. What I want you to remember is the shape: *four times, per return, plus the firm.*"

WHY WE STOPPED TEACHING THE DOLLAR AMOUNT

Earlier versions of this course taught a fixed per-failure figure and a fixed maximum. Those were the amounts for returns filed in 2026. This cohort files in 2027, and the figure is indexed for inflation. Teaching a number that expires before they use it trains exactly the wrong instinct. Teach the structure; send them to the source for the amount.

If a student wants the current figure — good, that is the instinct we want — look it up together on IRS.gov rather than telling them.

GETTING THE STAKES RIGHT WITHOUT TERRIFYING THEM

Five people who have never done this are being told they could cost the firm its e-filing licence. Handled badly that produces preparers who hide mistakes. Land it like this:

“Everything I have just described happens when somebody does not ask, or asks and does not write it down. None of it happens because somebody made an honest mistake and put their hand up. Your first fifteen returns are checked by somebody experienced before they go anywhere. Asking for help is the correct professional response and it is never held against you here.”

Then say the sentence you most need them to believe: **“You will not be in trouble for reporting something fast. You will be for hiding it.”**

Where they go wrong

WHAT HAPPENS	WHAT TO DO ABOUT IT
They leave the PTIN until Week 3, then discover the paper form takes six weeks.	Do it live in the session. Chase on Wednesday, not Friday. A student without a PTIN by Week 2 is a student who will not be ready in January.
They think the firm's PTIN covers them.	Say it twice: it is issued to <i>you</i> , personally, and it goes on every return you touch.
They assume a 2026 PTIN is the one they need, because 2026 is the tax year.	PTINs run on the calendar year you are <i>working</i> in. They are preparing in 2027.
They treat "due diligence" as a form at the end.	Every time the phrase comes up for the next ten weeks, add "... which is the questions you ask all the way through." Repetition is the teaching method here.
A student with prior experience says "the last place I worked did X."	Do not debate it in front of the group. "That may be how they did it. Here is how we do it, and here is why." Follow up privately — that student is either your strongest or your biggest risk.

Knowledge check 0 — answer key

Question 1

A client offers you 10% of their refund as your fee. What do you do?

B – Decline – a fee can never be based on the refund

Contingent fees based on refund size are prohibited.

Question 2

You're preparing a return in January 2027. Which year's PTIN do you need?

C – 2027 – the year you're preparing it in

PTINs run on the calendar year you are working in, not the tax year of the return.

Question 3

Due diligence failed on EITC, the Child Tax Credit and Head of Household on one return. What's the exposure?

C – \$1,950 – and the firm can be assessed too

\$650 per failure, three failures. The firm carries exposure as well.

Question 4

You only help with part of a return and don't sign it. Do you need a PTIN?

A – Yes – assisting for compensation requires one

Preparing or assisting in preparing for compensation requires a PTIN.

Question 5

You email a client's return from your personal Gmail because the office system is slow. What happened?

B – A data security breach that must be reported immediately

Client data never travels on personal accounts. Report it straight away.

ANSWER KEY NOTE – QUESTION 3

The stored answer for question 3 uses the amounts that applied to returns filed in 2026. The *structure* it is testing is what matters: three separate failures, three separate penalties, and the firm carries exposure too. Mark on the structure. If a student challenges the number, they are right to, and you should say so.

ASSIGNMENT 1 – SET IT OUT LOUD

Due Friday of Week 1. Register for a 2027 PTIN and send the confirmation to your trainer. Read and sign the firm's security plan. Write three sentences on what you would do if you sent a client's return to the wrong email address.

Marking: the three sentences are the real assignment. You are looking for “tell my trainer immediately” in the first sentence. Anything that starts with recalling the email or deleting it is a coaching conversation this week, not Week 9.

The 1040, End to End

The scaffolding module. Everything for the next nine weeks hangs off the five movements, so spend the time and do not rush to the W-2.

BEFORE THE SESSION

- Print five blank Form 1040s, current year. Paper, in their hands. This matters more than it sounds — the form stops being abstract the moment they hold one.
- Post the PDF for the remote three and confirm they have printed it before you start.
- Have two sample W-2s ready: one simple, one with a 401(k) so Box 1 and Box 3 differ.
- Check the standard deduction figures on the figures sheet against IRS Revenue Procedure 2025-32.

0:00	Hand out the 1040 Let them look at it for a full minute before you say anything. Then: "By December this will look ordinary. Today it is meant to look like a lot."
0:05	The five movements Teach the shape, not the line numbers. Write the five on screen and leave them up for the whole session.
0:25	Walk the paper form Point at each movement on the actual 1040. Who you are. What came in. What comes off. What's owed. What's been paid.
0:45	The W-2, box by box Only the boxes that matter: 1, 2, 3 & 5, 12, 15-17, 18-20. Do not cover all twenty.
1:05	Why Box 1 and Box 3 differ The set piece of this module. Script below.
1:20	Who has to file — and who should anyway The most important five minutes in Week 1. Script below.
1:35	Scenario — the \$38,000 / \$41,500 client Pairs, then debrief.

BOX 1 VERSUS BOX 3 – THE EXPLANATION THAT LANDS

"Her pay slip says one number. Box 1 says another. She wants to know which is her real salary, and she is slightly suspicious that somebody is lying to her."

"Both are real. They are measuring different things. Box 3 is what she earned. Box 1 is what she gets taxed on. The gap is the money she put into her retirement plan before the tax was worked out."

"Here is the bit that surprises people: Social Security tax is still charged on the full amount. So the retirement money escapes income tax now, and does not escape Social Security tax at all. That is why Box 3 did not drop."

Then give them the client-facing version, and make them say it back: *"You earned \$41,500. You saved \$3,500 into your retirement plan before tax, so you are only taxed on \$38,000."*

THE CLIENT WHO DOES NOT HAVE TO FILE

Teach this as a person, not a rule.

"A woman earns \$9,400 and has two children. She is not required to file a return. If you tell her that and stop, you have technically answered her question and cost her several thousand dollars, because refundable credits and withheld tax only come back if a return is filed."

"You will meet this client. Probably in your first fortnight. The answer is never just 'you don't have to.'"

Ask the group directly: *"Who here has a family member this describes?"* Usually two hands go up, and the module stops being theoretical.

Where they go wrong

WHAT HAPPENS	WHAT TO DO ABOUT IT
They try to memorise line numbers.	Stop them the first time. "The software knows the line numbers. You need to know which of the five movements this belongs to."
They ignore Boxes 18–20.	This is Detroit. A missed local box is a missed city return. Flag it here even though Module 6 is six weeks away.
They think the standard deduction is a choice most people agonise over.	Itemising is rarer than they expect for our client base. Say so, so they stop asking.
Confident students race ahead to credits.	Hold the line: "That is Movement Four, and we are still on Two." Using the frame to redirect teaches the frame.

Knowledge check 1 — answer key

Question 1

Which W-2 boxes tell you a Detroit city return may be needed?

B – 18, 19 and 20

18–20 are the local boxes. 15–17 are state.

Question 2

A client earned \$9,400 and has two children. What do you tell her?

C – She isn't required to, but should – she may be owed refundable credits

Not required, but refundable credits are only paid out if a return is filed.

Question 3

What is the TY2026 standard deduction for Head of Household?

A – \$24,150

\$24,150 — between Single and Married filing jointly.

Question 4

Box 1 is lower than Box 3. Give the most common reason.

B – Pre-tax retirement contributions reduce Box 1 but not Box 3

401(k) contributions reduce taxable wages but not Social Security wages.

Question 5

Where does a refundable credit sit in the five movements?

C – With payments – it can create a refund beyond tax paid

Refundable credits are treated like payments, which is why they can produce a refund even when no tax was owed.

ASSIGNMENT 2

Due Friday of Week 2. Workbook Module 1, plus: using the sample W-2 provided, write down which of the five movements each of Boxes 1, 2, 12, 17 and 19 belongs to, and one sentence explaining Box 19 to a client who has never heard of city tax.

Marking: the Box 19 sentence is what you are actually reading. Plain English, no jargon, no apology. If it is technically correct but unintelligible, send it back.

Filing Status

The highest-value two minutes of any client interview, and a due-diligence item in its own right. This module carries 30% of the final exam and needs 80% to pass it.

BEFORE THE SESSION

- Re-read the four scenarios on the course page. You will be running all four.
- Have the three Head of Household tests written somewhere permanent and visible for the whole session.
- Print the four scenarios on separate slips for the office pair so they cannot read ahead.

0:00	31 December decides everything Open with it. It settles about a third of every filing status question they will ever face.
0:10	The three HOH tests All three. Not two out of three. Say the phrase, then make the group say it.
0:25	Cost of keeping up a home The counts / doesn't-count list. Then the dependent-parent exception, which they will otherwise miss all season.
0:40	"Considered unmarried" Five conditions, every one required. The six-month rule is the one to slow down on.
1:00	Scenario 1 — Denise Pairs, five minutes, then debrief.
1:15	Scenario 2 — Marcus Fast. Most will get it.
1:25	Scenario 3 — Angela The hard one. Give it ten minutes and expect a wrong answer from at least half the group.

1:45

Scenario 4 — Ruth

Then the EITC screening point, which is the real lesson.

2:00

Why this is a due-diligence item

Form 8867 covers HOH too. Same penalty as the credits.

2:15

Knowledge check 2, set Assignment 3

THE SIX-MONTH RULE — DO THIS ON SCREEN

Draw a twelve-month line. Mark the last six months. Now put Angela's husband's departure — 12 September — on it, and let the group see that he was in the home in July and August.

"She is certain. She is not lying to you. She is answering the question 'has he gone?' and the test is a completely different question: 'was he in the home at any point in the last six months of the year?' He was. Married Filing Separately."

"So you do not ask 'are you separated?' You ask 'what date did he move out?' And you write the date down."

This one drawing is worth more than twenty minutes of explanation. Do it every year.

SCENARIO DEBRIEF NOTES

Denise → Single. The trap is seeing “paid every bill, supported another adult” and reaching for HOH. Paying is test 2. Test 3 asks for a *relative*. Press the group: “which test failed?” until somebody says test 3 specifically.

Marcus → Head of Household. Married for eleven and a half months, unmarried for the year. If someone says “but he was married most of the year”, that is the whole point of the 31 December rule and worth two extra minutes.

Angela → Married Filing Separately. The one they fail. Do not rescue them — let the group argue it out, then walk the timeline. Finish on: her real options are MFS, or MFJ if he will sign.

Ruth → Head of Household. Easy answer, important follow-through. A grandchild is a descendant, so the relationship works. Then: “*What else should you be screening Ruth for?*” EITC and the Child Tax Credit. Grandparents raising grandchildren are routinely owed far more than they claim, because nobody asks.

Where they go wrong

WHAT HAPPENS	WHAT TO DO ABOUT IT
“She takes care of him, so she's Head of Household.”	Three tests, all required. Make them name which test they are relying on, every single time.
They accept the client's own statement of status.	“The client told me” is not due diligence. The questions are: who lived in the home, for how many months, and who paid. Recorded.
They round months up.	More than half the year means more than six months. Seven months is fine. “About half” is not.
They forget the dependent-parent exception.	A parent in a care home can still make your client HOH if the client pays more than half the cost of the parent's home. Rare, but it is real money when it lands.

Knowledge check 2 — answer key

Question 1

On what date is marital status determined?

C — 31 December

The last day of the tax year, always.

Question 2

Which qualifying person does not have to live with the taxpayer?

B — A dependent parent

A dependent parent — provided the client pays more than half the cost of the parent's home.

Question 3

A client's spouse moved out in July. Can she be "considered unmarried"?

A — No — the spouse was in the home during the last six months

The spouse must not have lived there at any point in the last six months. July is inside that window.

Question 4

Is food eaten in the home part of the cost of keeping up a home?

B — Yes — but clothing, education and medical care don't

Food eaten in the home counts. Clothing, education and medical care do not.

Question 5

Does Form 8867 apply to Head of Household?

C — Yes — and the \$650 penalty applies

HOH is a due-diligence item in its own right.

Question 6

An unrelated partner lives with your client, who supports them entirely. Does that make your client Head of Household?

A – No – a qualifying person must be a relative

Someone who qualifies only by living in the home never supports HOH status.

ASSIGNMENT 3

Due Friday of Week 3. Workbook Module 2, plus: write the five intake questions you would ask a new client to establish filing status, in the order you would ask them. Then write the note you would put on the file for Angela's return.

Marking: the question order matters. "What date did your spouse move out?" must appear as a date question, not "are you separated?". The file note must contain a date, what the client said, and what you saw. Anything vaguer goes back.

The Earned Income Tax Credit

The largest credit most of our clients will ever claim, the most audited item on the return, and the one that carries the penalty. Two weeks, and do not compress it.

BEFORE THE SESSION

- Verify every EITC figure on the figures sheet against the IRS inflation adjustments for tax year 2026. Do not teach from last year's sheet.
- Print Form 8867 — five copies, and the PDF in the channel.
- Have a real, anonymised file note from last season ready to show. Nothing teaches note-writing like a note that worked.

SPLITTING THE TWO WEEKS

- **Week 4:** what earned means, the three disqualifiers, the four tests, what it is worth. Scenarios 1-3.
- **Week 5:** tie-breakers, the four due-diligence duties, Form 8867 line by line, note-writing, and Scenario 4 — which is the most important fifteen minutes of the whole course.

W4 0:00

What “earned” means

Worked for it. Then the not-list: unemployment, Social Security, child support, alimony, pensions, investment income.

W4 0:15

The client whose whole year was unemployment

No EITC. Have them practise saying it. It is a hard conversation and far better at your desk than in an IRS letter eight months later.

W4 0:25

Three things that kill it outright

Missing valid SSN. Investment income over the limit — by one dollar and it is all gone, no tapering. Client is themselves someone's qualifying child.

W4 0:40

R-A-R-J

Relationship, Age, Residency, Joint return. Drill the mnemonic until they can say all four cold.

W4 1:05

What it's worth

Walk the table. Emphasise the cliff edges.

W4 1:20

Scenarios 1–3

Keisha/Terrance, Carl's son, Yolanda's nephew.

W4 2:10

Knowledge check 3

Note: seven questions, the longest check in the course.

W5 0:00

Tie-breakers

Parent beats non-parent, then nights, then income. In that order.

W5 0:20

The four due-diligence duties

8867, worksheets, knowledge, records.

W5 0:40

Form 8867, line by line

On paper, together. Do not let them see it for the first time in January.

W5 1:10

Notes that hold up

The set piece. Script below.

W5 1:30

Scenario 4 — the cash cleaning client

Thirty minutes. This is the one.

W5 2:10

Set Assignment 4

NOTE-WRITING — TEACH IT BY TIMING THEM

Put this on screen:

"14 Feb — asked how many months D. lived with client in 2026. Client said Jan–Aug. Produced school enrolment letter showing client's address. Copy kept."

Then say: *"That took fifteen seconds to write and it settles the whole question two years from now, when you will not remember this client at all."*

Now actually time them. Give the group a fact pattern and sixty seconds to write the note. Read two aloud — anonymously — and mark them against four things: **date, what you asked, what they said, what you saw**. A note missing any of the four is not a note.

SCENARIO 4 – RUN IT PROPERLY, IT IS THE WHOLE MODULE

\$13,800 of cash cleaning income, no expenses at all, two qualifying children, the figure landing exactly where the credit peaks, and no records of any kind.

Do not let them jump to “decline”. Walk it:

1. **What is wrong with the picture?** A cleaning business with zero expenses is not how that work is done. There are always supplies, usually travel.
2. **What must you do?** Make reasonable inquiries and record them. How many clients? How often? What do you buy? How do you get there? How did you arrive at that figure?
3. **Then what?** Credible answers → prepare the return and keep the notes. Not credible → you do not sign it.

Finish on this and let it sit: *“That is an uncomfortable thing to do, and it is the job. This exact pattern is the most common due-diligence penalty case there is. If you remember one scenario from ten weeks, make it this one.”*

Where they go wrong

WHAT HAPPENS	WHAT TO DO ABOUT IT
They jump to income on a tie-breaker because it is the easier number to get.	Nights first. Income only when the nights are equal. Ask “what is rule two?” every time somebody skips it.
They do not ask the student question.	Carl's son is the drill. “Was he a full-time student for at least five months?” is worth thousands of dollars and takes four seconds.
They round five months to “about half the year”.	Yolanda's nephew. More than half means more than six. Write down the month they arrived.
They treat due diligence as paperwork rather than questions.	Duty 3 — knowledge — is where preparers actually get caught. Keep returning to “does this story hold together?”
They are frightened of the investment income limit and over-check it.	Rare in our client base. Check it, do not agonise over it. The time belongs to residency and relationship.

Knowledge check 3 — answer key

Question 1

What do the four qualifying child tests stand for?

B – Relationship, Age, Residency, Joint return

R-A-R-J.

Question 2

Is unemployment compensation earned income for EITC?

C – No – it isn't earned

Taxable, but not earned. No EITC comes from it.

Question 3

Two parents; the child lived with each exactly the same number of nights. Who claims?

A – The parent with the higher income

Nights first; higher income only as the tie-break. The credit is never split.

Question 4

A client's investment income is \$12,240. What happens to the EITC?

B – It's disallowed entirely

Over the \$12,200 limit by any amount and the whole credit goes.

Question 5

A child lived with the taxpayer from 1 February to 31 December. Does residency pass?

C – Yes – eleven months is more than half the year

The test is more than half the year, not the whole year.

Question 6

How long must due-diligence records be kept?

A – Three years

Three years.

Question 7

A client's figures look inconsistent but she insists they're right. What does the knowledge requirement oblige you to do?

B – Make reasonable inquiries and record the questions and answers

Ask, document, and decline to sign if the answers aren't credible.

ASSIGNMENT 4

Due Friday of Week 5. Workbook Module 3, plus: complete Form 8867 for the Keisha scenario, and write three file notes — one for each of Scenarios 1, 3 and 4.

Marking: mark the notes before the form. Date, asked, said, saw. A student whose 8867 is perfect and whose notes are vague is the student most likely to generate a penalty, and this is the week to tell them so.

Side Hustles and Schedule C

Where the EITC and self-employment tax collide, and where a polite, plausible client will ask a preparer to do something they must not do.

0:00	The form the money arrived on decides nothing 1099-NEC, 1099-K, app payout, cheque, cash in an envelope. If the work was a business it is a Schedule C.
0:15	Cash income Reportable whether or not anyone issued a form. Clients genuinely do not know this. Practise saying it plainly and without judgement — get two students to say it aloud.
0:30	Ordinary and necessary Supplies, mileage, phone, share of home costs, contract labour, licences.
0:45	Mileage The big one and the one that gets challenged. They need a log. Commuting — home to the first job — is not deductible.
1:00	Self-employment tax Both halves. The client who cleared \$9,000 and expected a refund and owes instead. Warn them, and start the estimated-payments conversation.
1:20	Where this meets the EITC The set piece. Script below.
1:35	Scenario — the rideshare client Role-play it, do not discuss it.
1:50	Knowledge check 4, set Assignment 5

THE COLLISION — AND HOW TO REFUSE

Teach the mechanism first, because they have to understand why the client is asking:

“Net profit from self-employment is earned income for the EITC. So fewer expenses means more profit, which can mean a bigger credit. Clients work this out on their own. Some of them will ask you directly to leave the mileage off.”

Then role-play it. You play the client. Be polite, plausible and persistent — that is what it is actually like. Make each student give you the refusal out loud. Give them the words:

“I can't leave off expenses you actually had. The return has to show what really happened. If the IRS looks at this — and they do look at exactly this — it would be treated as a false return, and that lands on both of us.”

Then the part students forget: **give him something real**. He is entitled to those 6,100 miles, and the preparer's job is to make sure his log is good enough to survive a challenge. Refusing is half the answer; helping is the other half.

Where they go wrong

WHAT HAPPENS	WHAT TO DO ABOUT IT
They think no 1099 means no income to report.	Say it three times across the session. Cash counts.
They accept a “no expenses” Schedule C.	Straight back to Module 3, Scenario 4. Zero expenses is a question, not a data entry.
They deduct commuting.	Home to the first job of the day is not business mileage. Draw the route.
They soften the refusal until it is not a refusal.	In the role-play, keep pushing until the student says no cleanly. A hedged no is a yes in February.

Knowledge check 4 — answer key

Question 1

A client was paid \$2,000 cash and no form was issued. Is it reportable?

A — Yes

Income is reportable regardless of paperwork.

Question 2

Is the drive from home to the first job of the day deductible?

B — No — that's commuting

Commuting is never deductible.

Question 3

Why does a self-employed client pay more payroll-type tax than an employee on the same income?

C — They pay both the employee and the employer halves

No employer to pay the other half.

Question 4

A client asks you to omit expenses so their EITC is larger. What do you do?

B — Decline and explain why

Report actual expenses. Omitting them is a false return.

Question 5

Net profit from self-employment — is it earned income for EITC?

A — Yes

Yes — which is exactly why the expense question matters so much.

ASSIGNMENT 5

Due Friday of Week 6. Workbook Module 4, plus: a client brings you app payout summaries totalling \$11,240, no log, and says "I drove a lot, just put something down." Write what you would ask, what you could honestly reconstruct, what you would have to leave out, and the file note.

Marking: you want to see reconstruction attempted honestly and limits stated plainly. A student who invents a mileage figure has failed this assignment regardless of everything else on the page.

Special Situations & the New Deductions

Veterans, retirees, the unemployed, and four deductions that nobody anywhere has years of experience with. Our clients are unusually likely to qualify.

BEFORE THE SESSION — THIS ONE IS DIFFERENT

Schedule 1-A is new. Check every figure and every phase-out threshold against the current Schedule 1-A instructions before you teach it, including the car loan interest cap, which was not in earlier versions of this course. If the instructions are not yet released for TY2026, say so in the session rather than teaching the 2025 amounts as though they are settled.

0:00

Veterans' benefits

VA disability: no. VA pension: no. GI Bill: no. Military retirement pay: yes. Clients get this wrong in both directions.

0:15

Ask which they receive

Not “do you get VA benefits?” — the answer to that is useless. Ask which ones, by name.

0:25

Social Security

Taxable on a sliding scale up to 85%. The retiree who takes a big IRA withdrawal and gets surprised twice.

0:40

Unemployment

Fully taxable, arrives on a 1099-G, withholding is optional and most decline. So they often owe. And from Module 3: not earned income, so no EITC.

0:55

Schedule 1-A — the four

Tips, overtime, senior, car loan interest. Walk the table and the phase-outs.

1:20

Car loan interest — Detroit matters

Script below.

1:35

The four things to remember

Tips must have been reported. Overtime means the premium. Married clients must file jointly. Ask every single client.

1:50

Knowledge check 5, set Assignment 6

CAR LOAN INTEREST – WHY THIS ONE IS OURS

"There is a deduction for interest on a car loan. New vehicles only, assembled in the United States, bought between 2025 and 2028, and you can claim it whether or not you itemise."

"Read that again. New. American-assembled. This is Detroit. A meaningful share of the people who walk through our door financed a vehicle built by a company their family has worked for. They will not mention it, because nobody has ever asked them about their car loan on a tax return before."

"So it goes on the intake sheet. Every client, every time."

Check the current cap and phase-out before you teach the numbers.

THE HONEST FRAMING FOR A BRAND-NEW FORM

Say this out loud in the session. It changes how they behave for the rest of their career:

"No preparer anywhere has years of experience with these. Not me either. Which means you start level with everybody else, and it also means we read the instructions rather than rely on what we think we remember."

Where they go wrong

WHAT HAPPENS	WHAT TO DO ABOUT IT
They report VA disability as income.	Costs the client money and looks incompetent. Drill the four-row table until it is automatic.
They miss military retirement pay.	The opposite error, and the more dangerous one. Ask which benefits, by name.
They treat all overtime pay as the overtime deduction.	It is the <i>premium</i> , not every dollar earned during overtime hours.
They forget married clients must file jointly for tips, overtime and the senior deduction.	This interacts with Module 2. A client who files MFS loses these.
They wait for clients to volunteer tips or a car loan.	People do not volunteer information they do not know is worth money. It goes on the intake sheet.

Knowledge check 5 — answer key

Question 1

Is VA disability compensation taxable?

B — No

Not taxable, and not reported on the return.

Question 2

Is military retirement pay taxable?

A — Yes

Taxable — unlike VA disability compensation.

Question 3

A married tipped worker wants the tips deduction but files separately. Can she claim it?

C — No — joint filing is required

Married clients must file jointly for tips, overtime and the senior deduction.

Question 4

What's the most of someone's Social Security that can be taxable?

B – 85%

85% is the ceiling.

Question 5

A client's cash tips were never reported to her employer. Can she claim the tips deduction on them?

A – No – tips must have been reported

Reported tips only.

ASSIGNMENT 6

Due Friday of Week 7. Workbook Module 5, plus: write the Schedule 1-A screening questions you would add to the intake sheet — no more than five — phrased the way you would actually say them to a client.

Marking: phrasing is the assignment. "Do you have qualified overtime compensation?" is a failed question. "Do you get paid extra for working overtime, and does it show separately on your pay slip?" is a good one.

Michigan & Detroit Returns

A perfect federal return is half a job. Almost every client also needs a Michigan return, and most need a Detroit one.

BEFORE THE SESSION

- Confirm the current Michigan income tax rate. It has moved in recent years — do not teach it from memory.
- Confirm the Homestead Property Tax Credit income and taxable-value limits for TY2026.
- Confirm that Detroit Forms 5118 / 5119 / 5120 are unchanged, and check the resident and non-resident rates.
- Print one MI-1040 and one of each Detroit form.

0:00

Michigan starts from federal AGI

Additions, subtractions, flat rate. Check the rate on the figures sheet in front of them — model the behaviour.

0:20

Walk an MI-1040 from a finished federal return

Use the Module 1 sample so nothing is new except the state form.

0:50

The Homestead Property Tax Credit

The set piece. Script below.

1:15

Detroit — three forms, one question

Where did they live. 5118 all year in, 5119 outside but worked in, 5120 moved.

1:35

The trap

No city tax withheld does not mean no city return is due. A Detroit resident whose employer did not withhold still owes — with interest if nobody notices.

1:50

Scenario — Andre, the part-year resident

Pairs, then debrief.

2:10

Knowledge check 6

THE HOMESTEAD CREDIT – THE SINGLE MOST COMMONLY MISSED ITEM

"It is a refundable Michigan credit for people whose property taxes are high relative to their income. And here is the part people miss: *renters qualify too*. A portion of the rent is treated as property tax."

"This is the single most commonly missed item for a Detroit client on a modest income, and it is real money. The client will never raise it, because they have no idea it exists. You have to."

Then give them the exact intake wording and make them write it down: **"Did you rent or own in 2026, and how much did you pay?"**

ANDRE DEBRIEF

Form 5120 — part-year resident. Detroit resident January to May, taxed on everything at the resident rate. Non-resident June to December, taxed only on Detroit earnings at the lower rate.

His employer withheld at the resident rate all year, so he has very likely overpaid and is owed a city refund.

The trap: filing 5118 for the whole year because the withholding looks like a full-year resident. Ask when he moved. Otherwise he loses money and never finds out.

Push the group on the general principle: *the withholding tells you what the employer believed, not what is true.*

Where they go wrong

WHAT HAPPENS	WHAT TO DO ABOUT IT
They finish the federal return and think they are done.	Half a job. Build the habit of asking “which three returns does this client need?” before starting anything.
They read the W-2's city withholding as the answer to residency.	Andre. Withholding is evidence, not a conclusion.
They skip the Homestead credit for renters.	Renters qualify. On the intake sheet, every client.
No city withholding, so they file no city return.	The most expensive habit on this page. The liability exists regardless.

Knowledge check 6 — answer key

Question 1

A client lives in Warren and works downtown. Which Detroit form?

B — 5119 — non-resident

Lives outside, works inside — non-resident.

Question 2

Can a renter claim the Michigan Homestead Property Tax Credit?

A — Yes

Renters qualify — part of the rent is treated as property tax.

Question 3

A Detroit resident's W-2 shows no city withholding. Is a city return due?

C — Yes — residents owe city tax either way

Withholding and liability are different things.

Question 4

A client moved out of Detroit in June. Which form?

B – 5120 – part-year resident

Moved during the year — part-year.

Question 5

Which intake question catches the Homestead credit?

A – "Did you rent or own, and how much did you pay?"

Ask it of every client, every time.

The Software and the Client

Knowing the law is half of it. This is the other half, and it is the module that cannot be taught from a page.

THIS MODULE NEEDS LIVE SOFTWARE — ARRANGE IT NOW, NOT IN WEEK 9

Every student needs their own login to our tax software before this session, and the three remote students need it working on their own machines. Test each login the week before. A session where two people cannot log in is a session wasted, and Week 9 is the last week before the Practice Lab.

Screen paths and menu names in the workbook are written against our current version. Walk them yourself once before you teach, and correct anything that has moved.

0:00

Full cycle, demonstrated once

New client, enter data, attach forms, clear diagnostics, transmit, retrieve the acknowledgement. Talk while you do it.

0:30

Full cycle, all five of them, together

You drive nothing. You answer questions. Expect this to take longer than you think.

1:15

Full cycle, on their own

Second time, different client data, no help unless asked.

1:45

Rejections

Name/SSN mismatch, dependant already claimed, missing 1095-A, prior-year AGI mismatch.

2:05

The sentence they will need most

Script below. Do not skip this — it is the hardest thing in the module.

2:25

The intake interview

Seven questions, same every time, three minutes, catches nearly everything.

2:45

Never promise a refund date

The exact wording. Then knowledge check 7.

"SOMEONE ELSE HAS ALREADY CLAIMED YOUR DAUGHTER."

This is the hardest sentence in the job and most new preparers say it badly the first time, usually by apologising or by implying the client did something wrong.

Make every student say it out loud, to you, at least twice. Then teach the sequence that follows:

1. Say it plainly and calmly. Do not soften it into confusion.
2. Explain the rules from Module 3 — the tie-breakers exist precisely for this.
3. Find out who else may have claimed. Ask; do not speculate.
4. If the client is entitled, we file on paper and the IRS resolves it.
5. Do not accuse anyone. Do not guess. Get the trainer if it gets difficult.

Often this is the first a parent knows of it, and it lands hard. Tell the students that, so they are not surprised by the reaction.

NEVER PROMISE A REFUND DATE

Give them the sentence verbatim and make them memorise it:

"The IRS usually issues most refunds within 21 days of accepting the return, and returns with certain credits are held a bit longer."

Then the reason: *"Promise a date and you own every day it is late. And the client will call you, not the IRS."*

Where they go wrong

WHAT HAPPENS	WHAT TO DO ABOUT IT
They clear diagnostics by dismissing them.	Every diagnostic gets read. Watch for the student who clicks through fast — that is the habit that transmits a broken return.
They react to whatever paperwork is on the desk instead of running the interview.	Same seven questions, every client, every time. Make it mechanical now so it survives a busy February.
They give a refund date to be helpful.	The most common well-meant mistake in this job. Drill the sentence.
They go quiet when a rejection appears.	A rejection is routine. Practise the explanation until it sounds routine when they say it.

Knowledge check 7 — answer key

Question 1

A client asks exactly when their refund will arrive. What do you say?

C – The IRS's typical timeframe, noting credit-related holds – never a date

Never a specific date.

Question 2

The return rejects because the dependant is already claimed. First step?

B – Check your client is genuinely entitled, explain the rules, then file on paper if so

Verify entitlement, explain, and file on paper if your client is right.

Question 3

Which question catches unreported side income?

A – "Any income without a form? Cash work, side jobs, apps?"

Ask about the money, not the paperwork — clients don't think of app payouts as "a business".

Question 4

A client has Marketplace health coverage but didn't bring the form. What's missing?

C – 1095-A

Without it the return can't be completed correctly and will reject.

Question 5

You're not confident about a return in front of you. What's the right move?

B – Escalate to an experienced preparer

Escalating is correct professional behaviour, not failure.

Practice Lab

Four complete returns built from messy piles of paper, the way they actually arrive. Then the difficult interview. Then the final.

HOW TO RUN IT

Hand over the document packs and step back. The instinct to rescue is strong and you have to resist it — this is the last safe place for them to get something wrong. Circulate, watch what they do *first*, and take notes for the debrief rather than correcting in the moment.

What to watch for, in order of importance:

- 1. Do they run the intake questions before touching the software?
- 2. Do they write notes as they go, or reconstruct them at the end?
- 3. Do they notice what is *missing* from the pack?
- 4. Do they ask for help at the right moment, or too late?

LAB	THE CLIENT	WHAT IT IS REALLY TESTING
1	Single parent, two children, one W-2 plus rideshare income. Detroit resident, renting.	The full stack — federal, state, city, EITC, Child Tax Credit, Homestead. Whether they remember the Homestead credit for a renter.
2	Separated client, spouse left in October, one child, disputed filing status.	Whether they ask for the date, and whether they are willing to say Married Filing Separately to a client who does not want to hear it.
3	Retired veteran, 68. VA disability, military retirement, Social Security, part-time tipped job.	Module 5 in full. Whether they exclude what should be excluded, include what should be included, and screen for Schedule 1-A.
4	Grandparent raising two grandchildren, moved out of Detroit in July, small cash cleaning income, partial records.	Everything at once, plus judgement. Part-year city return, relationship test, and an honest reconstruction of incomplete records.

THE DIFFICULT INTERVIEW – YOU PLAY THE CLIENT

Play someone who wants a bigger refund, is vague about who lived where, and mentions that “the last place just put it through.” Be likeable. Be persistent. That is what it is actually like, and a hostile role-play teaches nothing.

Assess three things, all of which matter equally:

- Did they ask the right questions?
- Did they write the answers down?
- Were they willing to say no?

A student who gets the tax right and cannot say no is not ready. Tell them that now, while there is still time to work on it.

CLOSE THE TEN WEEKS WITH THIS

Say all of it, in this order:

- In your first season you do not handle these alone: IRS notices, identity theft, unfiled prior-year returns, anything involving a company or partnership, and anything at all you are unsure about.
- Your first fifteen returns are reviewed before they are transmitted, and review continues until two batches in a row come back clean.
- **This is support, not suspicion. Everyone here went through it.**
- The exam is two hours, between 14 and 18 December. You may use the figures sheet and the forms — that is what you will have in January.
- One retake, at least seven days later, different scenarios. Most people who need it pass it.

Knowing who is in trouble, early

The single most useful thing you can do as an instructor is notice in Week 5 what would otherwise become obvious in Week 11.

The signals, in the order they appear

WEEK	SIGNAL	WHAT IT USUALLY MEANS	DO THIS
1	No PTIN submitted by Friday.	Not a knowledge problem. Either they have not understood it is compulsory, or something in their life is in the way.	Call them. Not a message — a call.
2–3	Assignments arrive but are thin.	They are consuming the course and not doing the work. This never self-corrects.	Return the assignment with one specific thing to redo. Set a 48-hour deadline.
3	Knowledge check 2 still red on the dashboard at the end of the week.	Retakes are unlimited, so a score that stays under 70% for a week means they have stopped trying rather than that they failed once. Filing Status predicts the exam almost perfectly — Part A needs 80%.	Thirty minutes one-to-one on the three tests. Do not wait.
4–5	Right answers, no file notes.	The highest-risk student profile there is. Technically capable, and the one most likely to generate a penalty.	Be blunt. "Your tax is good. Your notes would not defend this return. That is the part that gets people fined."
6	Softens a refusal in the Schedule C role-play.	They will say yes to a client in February.	Run it again, one-to-one, until the no is clean.
9	Cannot complete a software cycle unaided.	Usually not a software problem — they are unsure of the tax and the software is exposing it.	Find out which module they are actually stuck on, and reteach that.
10	Gets the tax right in Lab 2 but files Head of Household anyway.	They know the rule and will not apply it against a client's wishes.	This is a pass/fail conversation about the job, and it has to happen before the exam.

USING THE COHORT DASHBOARD

The online course records every knowledge check score against the student who sat it. Open the course, click **Instructor view** in the top bar, and you get a live grid: one row per student, one column per module, the score, and when they were last active.

- **A grey dash** means they have not attempted the check. Chase it.
- **Red** means attempted and under 70%. Retakes are unlimited and encouraged, so red that stays red for a week is the signal, not red on the day.
- **Last seen** is the most underrated column on the grid. A student who has not opened the course in nine days has usually already dropped out and not told you.

Students see only their own progress. Nobody can see anybody else's scores.

The completion checklist

A student is cleared to work with clients when every one of these is true. Not most of them.

- ☐ **2027 PTIN issued** — confirmation on file
- ☐ **Firm security plan** read and signed
- ☐ **All eight knowledge checks passed** at 70% or better
- ☐ **All six assignments submitted** and marked acceptable
- ☐ **All four practice returns completed**, with file notes
- ☐ **Difficult interview assessed** — asked, recorded, and said no
- ☐ **Final exam passed** — 80% Part A, 80% Part B, 70% Part C, 70% Part D
- ☐ **Three full software cycles** completed unaided
- ☐ **Escalation list acknowledged** — they can name what they do not handle alone
- ☐ **Review arrangement understood** — first fifteen returns reviewed, until two clean batches

WHAT TO VERIFY BEFORE 1 OCTOBER

These were correct when this pack was written and need confirming against source before the module that teaches them:

1. The current per-failure due-diligence penalty — IRS.gov/Form8867 (Module 0)
2. The 2027 PTIN renewal fee — renewal opens around mid-October (Module 0)
3. Whether tips, overtime and senior deduction amounts are inflation-adjusted for TY2026, and the car loan interest cap — Schedule 1-A instructions (Module 5)
4. Michigan's income tax rate, the Homestead credit limits, and that Forms 5118 / 5119 / 5120 are unchanged (Module 6)
5. The standard mileage rate for TY2026 (Module 4)

None of these block the October start. All of them should be settled before the module that uses them.

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Tax year 2026 edition, for returns filed in 2027. Every figure in this document is checked against IRS and State of Michigan sources each October; confirm the figures sheet before the module that uses it. Training material, not tax or legal advice.